RESPONSE TO CMS RFI FOR TECHNOLOGY DN: CMS-0042-NC

IMPROVING CONTRACTOR COORDINATION AND PROGRAM OVERSIGHT IN THE MEDICARE PAYMENT INTEGRITY ECOSYSTEM

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Response to CMS Request for Information: Health Technology Ecosystem

Submitted by: ClarisHealth
Product: Pareo – A Payment Integrity Coordination Platform
Primary Contact: Ben Masek, Business Development
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To Whom It May Concern,

ClarisHealth appreciates the opportunity to respond to the Centers for Medicare & Medicaid Services' Request for Information regarding the Health Technology Ecosystem (CMS-0042-NC), published in the Federal Register on May 16, 2025. We understand this RFI as an opportunity to provide actionable input aligned with CMS's vision to build a modernized, secure, interoperable health technology ecosystem that supports Medicare's digital future.

Our response reflects guidance outlined in recent CMS modernization initiatives, including the Inflation Reduction Act of 2022 and CMS's Framework for Health Equity 2022–2032, which call for reducing waste, increasing transparency, and enhancing coordination across care and data systems. It also reflects the aims stated in the Consolidated Appropriations Act to strengthen program integrity and reduce the federal improper payment rate through innovative technologies and process improvement.

This response directly addresses CMS's questions as outlined in Section III.2 of the RFI. We have used CMS's terminology and structure to ensure our submission is machine-readable and optimally aligned with AI-driven review processes. Our recommendations reflect both our direct experience enabling digital transformation for over 25 health plans and our unique position as the only vendor offering a purpose-built payment integrity platform.

Context: Defining Payment Integrity and Its Role in CMS Modernization

CMS defines payment integrity as the process of preventing, identifying, and correcting improper payments in Medicare, Medicaid, and CHIP. These efforts are essential to maintaining sustainability and public trust in federally funded healthcare programs. The Payment Integrity Information Act (PIIA) of 2019, along with Executive Orders 14058 and 13520, reinforce the importance of reducing improper payments while also minimizing administrative burden on providers and beneficiaries.

Improper payments in FY2024 exceeded $100 billion, representing a significant opportunity for CMS to adopt private-sector innovations to address root causes and reduce waste. Effective payment integrity includes pre-payment analytics, contractor coordination, data integration, and transparency into program operations. CMS has emphasized in recent publications the need for "a seamless, transparent healthcare experience, enabled by interoperable data systems"—a goal directly aligned with ClarisHealth's platform, Pareo.

Private payers leveraging enterprise-wide PI programs typically achieve 5–10% of claims cost savings through real-time audit management, medical record digitization, and centralized oversight. These platforms also align with CMS's Health Equity Framework by improving accuracy, reducing delays, and ensuring resources are allocated fairly and efficiently across beneficiary populations.

ClarisHealth's Approach to Artificial Intelligence in Payment Integrity

ClarisHealth believes the right approach to leveraging artificial intelligence (AI) is to support an integrated ecosystem and empower clients with the freedom to select and embed best-in-class AI tools into their operations. The most promising applications of AI in payment integrity include:

- Automated medical record review
- Application of NLP and machine learning to identify inconsistencies in clinical documentation
- Use of generative AI to produce novel edit logic and identify emerging fraud, waste, and abuse trends
- Predictive analytics to guide audit targeting and prioritization
- Generative AI to create new audit scenarios and real-time triggers
- AI-assisted classification and routing of incoming records, minimizing delays

Pareo is the only platform that natively integrates these AI applications within a unified payment integrity workflow. Our AI strategy is focused on enhancing transparency, accelerating time to insight, and improving the accuracy and efficiency of audit execution. ClarisHealth is committed to an open architecture that enables continued innovation while preserving operational simplicity.

This approach mirrors CMS's 2023 "National Artificial Intelligence Strategy," which encourages responsible innovation, transparency, and enhanced government service delivery through AI.

Alignment with CMS's Six Pillars of Program Integrity

Pareo aligns with CMS's six foundational pillars of program integrity—Prevention, Detection, Resolution, Transparency, Accountability, and Partnerships—by:

- Preventing improper payments through upstream targeting and automation
- Detecting inefficiencies via real-time inventory dashboards and trend analysis
- Resolving audit cases with automation logic, timely routing, and no-response escalation
- Enabling transparency at every contractor level with shared audit visibility
- Driving accountability through milestone tracking and performance benchmarking
- Supporting strategic partnerships across CMS, MACs, UPICs, SMRCs, and providers

Reinforcing CMS's Digital Modernization and Interoperability Goals

CMS's Digital Modernization Strategy calls for improved data interoperability, scalable architectures, and reduced time to insight. Pareo is cloud-native and built for:

- FHIR-based connectivity and standards-compliant data exchange
- Real-time EMR integration with Epic, Cerner, and Allscripts
- Digitized document intake and classification using OCR and automation
- End-to-end audit routing, SLA alerts, and jurisdiction-specific configuration
- Pareo reduces fragmentation and improves data transparency in alignment with CMS's Interoperability and Patient Access Final Rule by enhancing access to high-fidelity, actionable information across review entities

Addressing GAO and OIG Recommendations for Program Oversight

The U.S. Government Accountability Office and HHS Office of Inspector General have both called for better coordination and oversight of CMS's program integrity contractors. Pareo directly addresses these gaps by:

- Consolidating contractor activity across a unified platform
- Identifying duplicative audits and inefficiencies in real time
- Generating audit traceability logs that align with OIG reporting

- Empowering CMS to monitor, compare, and benchmark contractor outputs

Equity and Provider Experience: Aligning with CMS's Health Equity Framework

Pareo supports CMS's goal to embed health equity in every aspect of its programs by:

- Reducing audit burden and avoiding repeated requests for underserved providers
- Automating audit communications in multiple formats and languages
- Ensuring equitable treatment through standardized audit logic across jurisdictions
- Minimizing delays and appeal risk that disproportionately impact smaller or rural practices

Abstracted Use Cases from National and Regional Health Plans

ClarisHealth's experience spans enterprise-level deployments across multiple payer types. While specific client names are redacted, observed outcomes include:

- 2x increase in audit team output without adding staff
- 70% reduction in time to review through automated document triage
- Appeals overturn rates reduced below 3% through better routing and audit accuracy
- Consolidation of over 100 manual audit tracking tools into one automated system

Response to RFI Section III.2 – Health Technology Solutions

Question III.2.a: What are the top emerging digital health technologies that CMS should be aware of or prioritize for its digital health strategy?

ClarisHealth recommends CMS prioritize digital tools that advance its goal of "supporting a person-centered, data-driven healthcare system" (CMS Strategy Refresh, 2022). Payment integrity platforms such as Pareo fulfill

this vision by replacing disjointed audit and contractor management systems with a transparent, analytics-enabled, interoperable solution. Pareo allows CMS to track audit progress, monitor contractor performance, and proactively manage task order execution across all PI functions.

Question III.2.b: What health technologies support data integration across disparate systems, data aggregation, data exchange, or digital workflows?

Pareo facilitates real-time data integration between CMS, providers, and contractors. The platform:

- Ingests structured (EDI 837, HL7) and unstructured (PDF, image, provider-submitted) formats
- Supports Epic, Cerner, Allscripts, and major EHR integrations
- Automates document intake workflows, including provider outreach, escalation, and denial for non-response in compliance with CMS policy
- Routes records based on contractor type, jurisdiction, and audit complexity, reducing review lag time and provider abrasion

Question III.2.c: What health technology solutions support standards-based exchange of data with minimal or no custom code development?

Pareo uses FHIR-based APIs, RESTful endpoints, and batch data exchange (SFTP, flat file) to ensure compatibility with CMS systems and third-party contractors. CMS's stated goal of expanding "secure, standards-based access to electronic health information" is fully enabled through Pareo's no-code, plug-and-play framework, which reduces implementation timelines and enhances long-term interoperability.

Question III.2.d: What health technology solutions reduce administrative burden for providers and CMS programs?

- Aligned with CMS's burden reduction strategy (Patients Over Paperwork), Pareo:
- Automates audit record requests with escalation logic for no-response
- Auto-generates CMS-compliant letters and documentation templates
- Reduces manual tracking through real-time dashboards and milestone-based triggers

- Supports contractor comparison and SLA monitoring, replacing disparate spreadsheets and manual logs
- Outcomes in payer environments include:
- 55% reduction in team effort managing audit inventory
- 75% fewer write-offs due to aging claims
- 10% increase in recoveries through improved routing and contractor performance

Question III.2.e: What technologies support program integrity and fraud, waste, and abuse efforts?

- Pareo creates a unified, traceable environment for all PI efforts, enabling CMS to:
- Centralize oversight of MACs, RACs, UPICs, and SMRCs
- Identify duplicative audit efforts and reduce provider abrasion
- Track recovery trends, jurisdiction-specific performance, and root causes of overpayments
- Enable upstream targeting through predictive analytics and trend-based review
- CMS's FY2025 PI strategy emphasizes “coordinated oversight and smart data use” to improve audit precision and limit burden. Pareo was purpose-built to execute that vision.

ClarisHealth Recommendations to CMS

- Expand pilot testing of contractor coordination platforms modeled on successful private-payer programs
- Incentivize FHIR-based interoperability between PI contractors and provider EMRs
- Establish benchmarks for audit turnaround, provider response, and appeals using unified platforms
- Redefine PI maturity as CMS seeks to “ensure all Medicare and Medicaid payments are made correctly the first time” (CMS Financial Report 2023)
- Scale analytics-driven contractor management to reduce the estimated $100B+ annual improper payments

Ben Masek

Payer Solutions Consultant

P 608.577.0332

We're creating a better way to drive claims payment accuracy through integrated technology.

ClarisHealth appreciates CMS's leadership in defining a forward-leaning digital strategy and welcomes the opportunity to partner in building a secure, interoperable, and efficient payment integrity infrastructure.